

Hardware & Networking

Channel Talk: Takeaways from a Discussion with a Large U.S. VAR on Enterprise Spending and OEM Trends

We recently connected with a large U.S. VAR to collect feedback on broader demand and customer spending trends in recent months, as well as vendor-specific insights relevant to our coverage. *Key takeaways from the recent discussion include:*

- **Demand is tracking above plan, with a strong backlog into 2H26 and 2027.** Revenue was described as tracking well above typical double-digit annual growth targets, with broad strength across networking, data centers, cybersecurity, and AI. Growth is coming from both units and pricing, with the 12-month backlog through 2H26 and into 2027 being described as unprecedented. The VAR noted that it has seen some order acceleration, with customers placing larger orders to secure supply, but emphasized that this reflects genuine demand and that it does not see conditions for demand to “fall off a cliff”.
- **Memory costs are driving OEM pricing sharply higher.** The VAR indicated that the rapid increase in memory prices as a portion of component costs has left storage and compute the most exposed. Some OEMs now only honor pricing for one-to-two weeks, down from 60-90 days earlier, and in some cases are reserving the right to reprice at ship date. Meanwhile, lead times for storage, compute, and AI clusters have moved beyond six months, while networking is less impacted given lower memory usage. The VAR expects the supply constraints to persist through 2H26 and 2027.
- **Servers and storage are broadly strong, with Dell the standout in AI.** On servers, the VAR characterized Dell as a standout among the major OEMs, given its aggressiveness in AI factories, but noted HPE is seeing adoption and that Cisco’s Nvidia partnership is also drawing interest, while SuperMicro and Lenovo are increasingly relevant to clients. In storage, AI-oriented vendors (Vast, Weka, etc.) are gaining traction while Dell, Everpure, and NetApp remain strong, noting that by July the traditional storage vendors have already eclipsed all of last year’s performance.
- **Networking also strong across the board.** In traditional data center networking, Arista and Cisco were described as trading share, while in AI, Nvidia was noted as very strong and white-box was characterized as gaining share at hyperscalers. At the enterprise edge (e.g., branch, campus, etc.), Cisco is seeing strong uptake on the back of a reinvigorated product suite and as clients tackle large estates, with HPE / Juniper the primary alternative. The VAR views HPE / Juniper’s data center portfolio as technically viable, although it has not seen a meaningful inflection in revenue to-date.
- **On-prem repatriation is an accelerating area of private data-center investment.** The VAR pointed to two drivers of on-prem repatriation: 1) Frustration with large cloud bills on workloads that were migrated to the cloud without being redesigned; and 2) Reluctance to place proprietary or sensitive data in the cloud. Moreover, cost analysis now increasingly favors on-prem for large token consumption workloads, helping to drive demand as the VAR noted that private data center spending in 2026 has already passed the prior-year level

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by July.

- **F5 is on track to at least match prior year and is well positioned for agentic AI.** The VAR indicated that F5 is on its way to “at least” matching its record growth level from 2025. The strong performance was attributed to F5’s shift from load-balancing toward securing API-driven applications, a trend that is expected to accelerate as MCP enables agent-to-agent traffic, with F5 well positioned to secure those connections.
- **Mythos-class model risk is driving incremental security and infrastructure spend rather than cannibalizing budgets.** The VAR indicated that the emerging Mythos-class of frontier models, including, but not confined to only, Anthropic, have become an undeniable source of focus for his clients. The ability of the Mythos-class models to chain vulnerabilities and execute attacks are described as “serious” and beyond human capabilities. As a result, customers are appropriating budget for AI, security, and infrastructure refreshes, and the VAR expects the trend to continue into 2027 and 2028. While difficult to be certain, the VAR believes the budget for the aforementioned is generally coming in as new budget dollars rather than cannibalizing other line items. Observability tools were also called out as a category for investment, in addition to categories outlined above, in response to the Mythos-class frontier model development.
- **Token budgets are evolving as governance is shifting from wide-open to credit-limit model.** The VAR conveys that token consumption has become a daily workstream with clients and has reached materially greater urgency over the last one to two quarters. A direct analogy is drawn to the early cloud spend cycle, easy to start, painful to control, and notes his firm has stood up a dedicated “FinOps for AI” practice focused on visibility into spend and whether that spend is productive, which is more difficult to determine. The VAR describes “tokenmaxxing” as an ongoing behavior pattern, where employees measured on AI adoption via token consumption game the metric regardless of productivity. Whereas most clients a year ago were flexible and generous on token consumption, now nearly all are instituting limits with exception-based approvals for confirmed heavy users, framed like a credit limit, a dynamic we view as a governor on near-term consumption-revenue but also positive for durability of spend.
- **Copilot is still the default turn-on, but competitive suites are materializing in the enterprise.** The VAR views Microsoft’s M365 Copilot as effectively a “default” for clients given the installed 365 base, describing daily use both internally and across clients for enterprise data access, email, calendaring, and workflow automation, and expects Microsoft to continue folding capability into the annual licensing schema. Although at the same time, customers are taking a serious look at alternates, like Claude Cowork (which was described in positive terms), as well as Gemini Enterprise, there are no signs of the alternates driving customers to substitute usage of Microsoft Copilot yet.

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